

**CENTRAL BOARD OF SECONDARY EDUCATION — PRACTICE EXAMINATION****CLASS IX • SOCIAL SCIENCE (SUBJECT CODE: 087) • ACADEMIC SESSION 2026-27****SET E — CASE STUDY & SOURCE-BASED SCENARIOS****CHAPTER 09: THE PRICE PUZZLE: WHAT DRIVES THE MARKET**

TIME ALLOWED: 45 MINUTES

MAXIMUM MARKS: 25 MARKS

SERIES: CBS-IX-SST-SET-E-09

Student's Name: \_\_\_\_\_

Roll No.: \_\_\_\_\_

Class &amp; Section: Class IX - \_\_\_\_\_

Date of Exam: \_\_\_\_\_

Invigilator's Sign: \_\_\_\_\_

**General Instructions (SET E - Case Study & Source-Based Scenarios):**

1. The question paper comprises **5 In-Depth Case Studies & Source Scenarios** with **5 MCQs each (Total: 25 Questions, 1 Mark each)**.
2. Read each source passage, historical inscription, geographic case, and economic scenario carefully before answering the corresponding questions.
3. Each question has 4 options with a single correct answer.
4. All questions are compulsory. There is no negative marking.
5. Darken the corresponding bubble on the **OMR Sheet** completely using a blue/black ballpoint pen.

**CASE STUDY 1: SUPPLY SHOCKS, INELASTICITY & THE ONION PRICE ROLLERCOASTER**

The market for onions in India is notoriously vulnerable to extreme price volatility. In September 2023, unseasonal torrential rains and flash floods in Nashik, Maharashtra (the primary onion-producing hub of India), severely damaged the standing Kharif crop and submerged storage warehouses. Agricultural economists analyzed the market using demand and supply curves. Because onions are an essential dietary staple in Indian households with virtually no direct culinary substitutes, the market demand curve for onions is steep and highly price-inelastic ( $\$E_d < 1\$$ ). When the localized flooding occurred, the market supply curve shifted sharply to the left (from  $\$S_0\$$  to  $\$S_1\$$ ). At the prevailing original equilibrium price of ₹25 per kg, a massive market shortage (excess demand) emerged. Because consumers were desperate to buy essential cooking ingredients and could not easily postpone purchases, desperate buyers bid prices up aggressively. Retail prices quadrupled to ₹100 per kg in major cities. Compounding the crisis, speculative wholesale traders began hoarding existing warehouse stocks, anticipating further price rises, which shifted immediate market supply even further leftward until the central government imposed export bans and released buffer stocks.

**Q.1 Why did the equilibrium retail price of onions surge from ₹25 to ₹100 per kg following unseasonal rains in Nashik?**

- |                                                        |                                                                                                                                        |
|--------------------------------------------------------|----------------------------------------------------------------------------------------------------------------------------------------|
| (A) Demand curve shifted leftward while supply doubled | (B) Crop damage shifted the supply curve sharply leftward; with highly price-inelastic demand, excess demand bid prices steeply upward |
| (C) The government made eating onions illegal          | (D) Consumers suddenly stopped purchasing all food items                                                                               |

**Q.2 Why is the price elasticity of demand for essential commodities like onions and common salt classified as 'inelastic' ( $\$E_d < 1\$$ )?**

- |                                                                                |                                                                                                                                               |
|--------------------------------------------------------------------------------|-----------------------------------------------------------------------------------------------------------------------------------------------|
| (A) Consumers buy 100 times more salt when prices double                       | (B) These goods are indispensable household necessities with no close substitutes, so quantity demanded responds very weakly to price changes |
| (C) Consumers can easily stop consuming salt for ten years without any problem | (D) Salt is an expensive luxury item like diamonds                                                                                            |

**Q.3 What happens in a competitive market when the current price is temporarily below the equilibrium price?**

- (A) An unsold market surplus develops and prices drop further      (B) An excess demand (market shortage) emerges, exerting upward pressure on market prices until equilibrium is restored
- (C) All producers shut down their factories permanently      (D) Supply automatically triples within two seconds

**Q.4 How does speculative hoarding by wholesale traders aggravate an existing agricultural supply crisis?**

- (A) It floods the open market with cheap food      (B) It withholds available inventories from circulation, shifting the current supply curve further leftward and accelerating price inflation
- (C) It forces all retail prices to fall to zero      (D) It prevents rain from falling in farming villages

**Q.5 What policy intervention did the government deploy to curb the surging domestic retail price of onions?**

- (A) Ordering farmers to destroy all remaining crops      (B) Imposing export bans and releasing subsidized buffer stocks into open wholesale markets
- (C) Subsidizing the export of all onions to foreign countries      (D) Doubling income tax rates for all consumers

**CASE STUDY 2: MARKET EQUILIBRIUM & PRICE DISCOVERY IN THE URBAN POULTRY MARKET**

In an urban wholesale market in Pune, daily trading in farm-fresh eggs establishes market equilibrium through the interactions of competitive buyers and sellers. The market demand schedule reflects the Law of Demand: at ₹10 per egg, daily quantity demanded is 10,000 eggs; at ₹7 per egg, quantity demanded rises to 25,000 eggs; and at ₹4 per egg, quantity demanded expands to 40,000 eggs. Conversely, the market supply schedule reflects the Law of Supply: at ₹10 per egg, poultry farms are willing to supply 40,000 eggs (attracted by high profit margins); at ₹7 per egg, they supply 25,000 eggs; and at ₹4 per egg, they supply only 10,000 eggs. Market equilibrium is established at the intersection point where quantity demanded equals quantity supplied ( $Q_d = Q_s = 25,000$  eggs) at the market-clearing equilibrium price of ₹7 per egg. If sellers attempt to charge ₹10, quantity supplied (40,000) exceeds quantity demanded (10,000), leaving an unsold surplus of 30,000 eggs. To prevent spoilage, competing sellers slash prices downward toward ₹7. If price drops to ₹4, a shortage of 30,000 eggs bids prices back upward to ₹7.

**Q.6 Based on the provided market data, what is the equilibrium price and equilibrium quantity in the Pune egg market?**

- (A) ₹10 per egg and 40,000 eggs      (B) ₹7 per egg and 25,000 eggs
- (C) ₹4 per egg and 10,000 eggs      (D) ₹0 per egg and zero eggs

**Q.7 What market condition develops if poultry sellers attempt to hold the price artificially at ₹10 per egg?**

- (A) A severe shortage of 30,000 eggs      (B) A market surplus (excess supply) of 30,000 unsold eggs ( $40,000 - 10,000 = 30,000$ )
- (C) An immediate doubling of consumer demand      (D) A total collapse of all poultry farms

**Q.8 Why does a market surplus force competitive sellers to reduce their prices downward toward equilibrium?**

- (A) Because the government arrests all sellers who have unsold stock      (B) Sellers compete to clear perishable unsold inventories rather than let them spoil, undercutting competitors until the market clears
- (C) Because buyers refuse to consume food forever      (D) Because banks confiscate all unsold eggs

**Q.9 According to the Law of Supply, why does quantity supplied increase when market prices rise?**

- |                                                             |                                                                                                                                           |
|-------------------------------------------------------------|-------------------------------------------------------------------------------------------------------------------------------------------|
| (A) Producers dislike making money and want to lose profits | (B) Higher market prices yield higher profit margins per unit, incentivizing existing producers to expand output and attracting new firms |
| (C) Higher prices make production costs drop to zero        | (D) Laws of physics require supply to increase                                                                                            |

**Q.10 What term describes the price at which quantity demanded exactly equals quantity supplied, clearing the market?**

- |                                       |                                  |
|---------------------------------------|----------------------------------|
| (A) Market-clearing equilibrium price | (B) Ceiling monopoly price       |
| (C) Deflationary discount price       | (D) Bankruptcy liquidation price |

### CASE STUDY 3: CROSS-PRICE ELASTICITY: ELECTRIC VEHICLES (EVs) VS PETROL CARS & SUBSIDIES

The automotive industry in India provides a compelling case study in cross-price relationships, substitute goods, and government fiscal interventions. Electric Vehicles (EVs) and conventional Internal Combustion Engine (ICE) petrol vehicles are classified by economists as 'Substitute Goods'—commodities that satisfy the same fundamental consumer transportation want. When international crude oil prices spiked, retail petrol prices crossed ₹105 per litre. Because petrol and ICE cars are 'Complementary Goods' (used together in joint demand), surging petrol running costs caused the demand curve for ICE petrol cars to shift leftward. Simultaneously, the cross-price effect boosted the demand for substitute electric vehicles, shifting the EV demand curve to the right. To accelerate this green transition, the central government launched the FAME-II scheme (Faster Adoption and Manufacturing of Electric Vehicles), granting direct production subsidies and battery incentives to EV manufacturers. Subsidies reduced per-unit marginal manufacturing costs, shifting the market supply curve for EVs rightward (from  $\text{\$}_0$  to  $\text{\$}_1$ ), lowering the equilibrium retail price of EVs and expanding equilibrium sales.

**Q.11 How are electric cars and petrol-powered cars classified in microeconomic demand theory?**

- |                           |                                                                              |
|---------------------------|------------------------------------------------------------------------------|
| (A) Complementary goods   | (B) Substitute goods (commodities that satisfy the same transportation need) |
| (C) Inferior Giffen goods | (D) Public non-excludable goods                                              |

**Q.12 Why does a sharp increase in the retail price of petrol cause the demand curve for petrol cars to shift to the left?**

- |                                                                                                                                                 |                                                          |
|-------------------------------------------------------------------------------------------------------------------------------------------------|----------------------------------------------------------|
| (A) Petrol and petrol cars are complementary goods consumed jointly; higher fuel operating costs depress consumer demand for the vehicle itself | (B) Petrol cars run faster on cheap water than on petrol |
| (C) Government bans all car driving during oil shocks                                                                                           | (D) Petrol and cars are substitute goods                 |

**Q.13 How does a government production subsidy provided to EV manufacturers affect the market supply curve for electric vehicles?**

- |                                                                   |                                                                                                                                              |
|-------------------------------------------------------------------|----------------------------------------------------------------------------------------------------------------------------------------------|
| (A) It shifts the supply curve to the left, raising retail prices | (B) It shifts the supply curve to the right by reducing effective production costs, lowering equilibrium price and expanding quantity traded |
| (C) It freezes the supply curve permanently                       | (D) It destroys all EV battery manufacturing plants                                                                                          |

**Q.14** If the price of tea rises substantially and consumers switch to drinking coffee, the cross-price elasticity between tea and coffee is:

- |              |                                                  |
|--------------|--------------------------------------------------|
| (A) Negative | (B) Positive (typical of substitute commodities) |
| (C) Zero     | (D) Undefined                                    |

**Q.15** What distinguishes a 'movement along a demand curve' from a 'shift of a demand curve'?

- |                                                                                                                                                                    |                                                               |
|--------------------------------------------------------------------------------------------------------------------------------------------------------------------|---------------------------------------------------------------|
| (A) Movements along the curve are caused strictly by changes in the good's own price, while shifts are caused by non-price factors (income, tastes, related goods) | (B) Shifts are caused only by changes in the good's own price |
| (C) Movements along the curve only happen on weekends                                                                                                              | (D) There is no distinction between movements and shifts      |

#### CASE STUDY 4: STATUTORY PRICE CEILINGS & THE PUBLIC DISTRIBUTION SYSTEM (PDS)

In free competitive markets, equilibrium prices are determined purely by interaction of supply and demand without regard to consumer poverty or social equity. For essential survival commodities like wheat, rice, and life-saving antibiotics, the free-market equilibrium price ( $P^*$ ) may be so high that millions of low-income households are priced out and face starvation. To protect vulnerable citizens, the government intervenes by imposing a legally binding 'Price Ceiling'—a statutory maximum legal price set strictly below the free-market equilibrium level ( $P_c < P^*$ ). While well-intentioned, economic analysis demonstrates the inevitable market consequence: at the artificially low ceiling price  $P_c$ , quantity demanded ( $Q_d$ ) expands substantially, while profit-seeking producers contract quantity supplied ( $Q_s$ ). This creates an endemic market shortage (excess demand). Without government intervention, shortages lead to black marketing and long queues. To ensure equitable delivery, the Indian state operates the Targeted Public Distribution System (PDS), distributing subsidized food grains via fair price shops to ration card holders, backed by direct budgetary food subsidies.

**Q.16** What is a 'Price Ceiling' in economic policy, and where is it set relative to the free-market equilibrium price?

- |                                                                      |                                                                                                                                            |
|----------------------------------------------------------------------|--------------------------------------------------------------------------------------------------------------------------------------------|
| (A) A minimum price set above equilibrium to help rich manufacturers | (B) A statutory maximum legal price set below the free-market equilibrium price to make essential goods affordable for low-income citizens |
| (C) A tax imposed on luxury sports cars                              | (D) A bank interest rate charged on home loans                                                                                             |

**Q.17** What inevitable market disequilibrium is generated when a price ceiling is enforced below the equilibrium price?

- |                                             |                                                                                                                  |
|---------------------------------------------|------------------------------------------------------------------------------------------------------------------|
| (A) An unsold commercial surplus of goods   | (B) A chronic market shortage (excess demand), where quantity demanded exceeds quantity supplied ( $Q_d > Q_s$ ) |
| (C) A sudden disappearance of all consumers | (D) An immediate 100% reduction in consumer demand                                                               |

**Q.18** Why does the government operate Fair Price Shops under the Public Distribution System (PDS) in conjunction with price ceilings?

- |                                                             |                                                                                                                              |
|-------------------------------------------------------------|------------------------------------------------------------------------------------------------------------------------------|
| (A) To sell imported sports cars to rural farmers           | (B) To ration scarce essential food grains transparently to eligible low-income households and prevent black-market hoarding |
| (C) To shut down all agricultural farming across the nation | (D) To force citizens to buy only luxury electronic gadgets                                                                  |

**Q.19** If an unregulated free market experiences an acute shortage of a life-saving medicine, what happens to its price?

- |                                               |                                                                                                                          |
|-----------------------------------------------|--------------------------------------------------------------------------------------------------------------------------|
| (A) The price drops to zero automatically     | (B) Desperate buyers compete and bid the price upward, pricing out poor citizens until only wealthy buyers can afford it |
| (C) Producers give the medicine away for free | (D) The medicine turns into tap water                                                                                    |

**Q.20** How does the government finance the gap between the economic cost of procuring food grains and the subsidized PDS issue price?

- |                                                |                                                                   |
|------------------------------------------------|-------------------------------------------------------------------|
| (A) By closing down all schools                | (B) Through state budgetary allocations termed the 'Food Subsidy' |
| (C) By printing counterfeit foreign currencies | (D) By taking loans from local money lenders                      |

#### CASE STUDY 5: AGRICULTURAL PRICE FLOORS: MINIMUM SUPPORT PRICE (MSP) & BUFFER STOCKS

Agricultural production in India is subject to extreme seasonal supply gluts. During post-harvest months, millions of farmers harvest crops simultaneously. Because market supply temporarily swamps demand, open-market prices can plummet below the actual cost of cultivation, driving farmers into debt traps and distress sales. To stabilize farm incomes and ensure national food security, the Government of India announces a 'Minimum Support Price' (MSP) for 22 mandated crops prior to each sowing season, based on recommendations by the Commission for Agricultural Costs and Prices (CACP). Economically, the MSP operates as a 'Price Floor'—a statutory minimum price fixed above the free-market equilibrium level ( $\$P_f > P^*\$$ ). At this elevated price floor, quantity supplied exceeds open commercial demand, creating an unsold market surplus. To make the price floor effective and prevent market collapse, public procurement agencies, primarily the Food Corporation of India (FCI), step into agricultural mandis and purchase all surplus food grains offered by farmers at the announced MSP. These procured grains are stored in national buffer stocks, which supply the PDS and serve as strategic reserves during drought emergencies.

**Q.21** What is the primary economic objective of the Minimum Support Price (MSP) policy in Indian agriculture?

- |                                                                     |                                                                                                                                   |
|---------------------------------------------------------------------|-----------------------------------------------------------------------------------------------------------------------------------|
| (A) To force farmers to sell all their land to foreign corporations | (B) To guarantee a remunerative price floor that protects farmers from distress sales and price crashes during post-harvest gluts |
| (C) To make food as expensive as diamonds for urban consumers       | (D) To ban the production of wheat and rice in India                                                                              |

**Q.22** Economically, where is a Minimum Support Price (Price Floor) fixed relative to the free-market equilibrium price?

- |                                             |                                                                 |
|---------------------------------------------|-----------------------------------------------------------------|
| (A) Below the free-market equilibrium price | (B) Above the free-market equilibrium price ( $\$P_f > P^*\$$ ) |
| (C) Exactly at zero rupees                  | (D) It changes every thirty seconds                             |

**Q.23** What market condition inevitably emerges when a price floor is fixed above the equilibrium price?

- |                                                                |                                                                                                              |
|----------------------------------------------------------------|--------------------------------------------------------------------------------------------------------------|
| (A) A severe market shortage where consumers cannot find goods | (B) An excess supply (unsold surplus), where quantity supplied exceeds quantity demanded ( $\$Q_s > Q_d\$$ ) |
| (C) A sudden disappearance of all farm produce                 | (D) A 500% increase in open commercial consumer purchases                                                    |

**Q.24** What agency purchases surplus food grains at the MSP to prevent open-market prices from collapsing below the floor?

- (A) The Food Corporation of India (FCI) alongside state procurement agencies  
 (B) The Reserve Bank of India  
 (C) The Indian Space Research Organisation (ISRO)  
 (D) Private foreign hedge funds

**Q.25** What double purpose do the buffer stocks of food grains maintained by the Food Corporation of India serve?

- (A) Feeding circus animals and burning excess wheat in power plants  
 (B) Supplying subsidized grain to the Public Distribution System (PDS) and maintaining strategic food security reserves for drought relief  
 (C) Exporting all food grains to European luxury restaurants  
 (D) Converting wheat into paper currency notes

**CBSE CANDIDATE OMR ANSWER RESPONSE GRID (SET E)**

|    |                                                                                                 |    |                                                                                                 |    |                                                                                                 |    |                                                                                                 |    |                                                                                                 |
|----|-------------------------------------------------------------------------------------------------|----|-------------------------------------------------------------------------------------------------|----|-------------------------------------------------------------------------------------------------|----|-------------------------------------------------------------------------------------------------|----|-------------------------------------------------------------------------------------------------|
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Total Questions Attempted: \_\_\_\_ / 25

Marks Obtained: \_\_\_\_ / 25

Evaluator's Signature: \_\_\_\_\_

### OFFICIAL ANSWER KEY & CASE STUDY ANALYTICAL EXPLANATIONS (SET E)

| Q. No. | Correct | Curricular Source Analysis & Conceptual Explanation                                                                                              |
|--------|---------|--------------------------------------------------------------------------------------------------------------------------------------------------|
| Q.1    | (B)     | A leftward supply shock in a market with price-inelastic demand generates severe shortages and dramatic price spikes.                            |
| Q.2    | (B)     | Necessities lack close substitutes, meaning consumers purchase roughly the same quantity regardless of price changes ( $\$E_d < 1\$$ ).          |
| Q.3    | (B)     | Below equilibrium, quantity demanded exceeds quantity supplied ( $\$Q_d > Q_s\$$ ), creating a shortage that bids prices upward.                 |
| Q.4    | (B)     | Hoarding removes stocks from the open market, reducing immediate supply and driving consumer retail prices higher.                               |
| Q.5    | (B)     | Export bans retain supplies domestically, while releasing state buffer stocks shifts supply rightward, stabilizing prices.                       |
| Q.6    | (B)     | Equilibrium occurs where quantity demanded exactly equals quantity supplied: at ₹7 per egg, $\$Q_d = Q_s = 25,000\$$ eggs.                       |
| Q.7    | (B)     | At ₹10, quantity supplied (40,000) exceeds quantity demanded (10,000), creating an unsold surplus of 30,000 eggs.                                |
| Q.8    | (B)     | To liquidate perishable unsold stock, sellers lower prices, stimulating consumer demand and contracting supply until equilibrium is restored.    |
| Q.9    | (B)     | Higher prices improve unit profit margins, motivating producers to allocate more inputs and expand production.                                   |
| Q.10   | (A)     | The market-clearing equilibrium price leaves neither an unsold surplus nor an unsatisfied shortage.                                              |
| Q.11   | (B)     | EVs and petrol cars are substitutes; an increase in the cost of owning petrol cars motivates consumers to switch to EVs.                         |
| Q.12   | (A)     | Complementary goods have negative cross-price elasticity: rising prices for fuel (the complement) reduce demand for vehicles.                    |
| Q.13   | (B)     | Subsidies lower manufacturing costs, incentivizing producers to supply larger quantities at every price and shifting the supply curve rightward. |
| Q.14   | (B)     | Substitute goods possess positive cross-price elasticity: an increase in the price of Good A increases demand for Good B.                        |
| Q.15   | (A)     | Changes in own-price cause movements along the existing curve (expansion/contraction); non-price determinants shift the entire curve.            |
| Q.16   | (B)     | A price ceiling is a legally mandated maximum price set below equilibrium to protect consumers from unaffordable market prices.                  |
| Q.17   | (B)     | Lowering prices below market-clearing levels expands consumer demand while disincentivizing supply, creating chronic shortages.                  |
| Q.18   | (B)     | Rationing through PDS fair price shops ensures fair physical distribution of shortages to vulnerable families without black marketing.           |
| Q.19   | (B)     | In unregulated markets, shortages bid prices up, allocating scarce goods strictly to those with high willingness and ability to pay.             |
| Q.20   | (B)     | The fiscal gap between procurement/handling costs and the subsidized retail price is funded through the central government food subsidy budget.  |

| Q. No. | Correct | Curricular Source Analysis & Conceptual Explanation                                                                                       |
|--------|---------|-------------------------------------------------------------------------------------------------------------------------------------------|
| Q.21   | (B)     | MSP acts as an agricultural price floor, assuring farmers a guaranteed minimum return to prevent distress selling during harvest peaks.   |
| Q.22   | (B)     | An effective price floor must be set above the market-clearing equilibrium price to support producer incomes.                             |
| Q.23   | (B)     | At prices above equilibrium, farmers supply more while open commercial buyers purchase less, creating an unsold surplus.                  |
| Q.24   | (A)     | The Food Corporation of India (FCI) procures surplus wheat and paddy at MSP at state agricultural mandis to sustain the price floor.      |
| Q.25   | (B)     | Buffer stocks supply subsidized grains to PDS fair price shops and provide strategic emergency reserves during droughts or crop failures. |